



Swiss Life Asset Managers ESG Factsheet

Swiss Life Funds (LUX) Bond ESG Global Sovereigns

28/06/2024

This promotional document is intended exclusively for qualified investors



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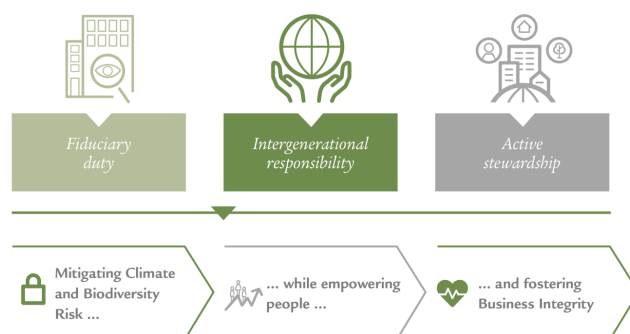
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ESG at Swiss Life Asset Managers

Our ESG Concept

Our long-established tradition of responsible investment is firmly rooted in our corporate DNA. Over recent years, we have enhanced and consolidated these values to create a comprehensive approach to responsible investment. This means an explicit ESG concept, built on three pillars of corporate responsibility: fiduciary duty, intergenerational responsibility and active stewardship.



Responsible Investment Policy

At Swiss Life Asset Managers, conveying our company-wide responsible investment approach and comprehensive integration at product level is one of our key priorities.

We have designed the Swiss Life Asset Managers investment strategy with a long-term, sustainable view that is in full synergy with our insurance liabilities. Apart from having integrated environmental, social and governance (ESG) considerations across all main business activities, we are undertaking various initiatives that go beyond standard integration. To us as an asset manager devoted to its fiduciary duty, responsible investment is not only a means to redirect capital flows towards sustainable development but also an important instrument to seize investment opportunities and reduce respective risks for our investors. We trust that sound responsible investment solutions are validating their efficiency in managing risks and delivering more resilient returns, precisely because they support and finance companies acting for the well-being of society and shareholders alike.

Please find more details on www.swisslife-am.com/ri-policy

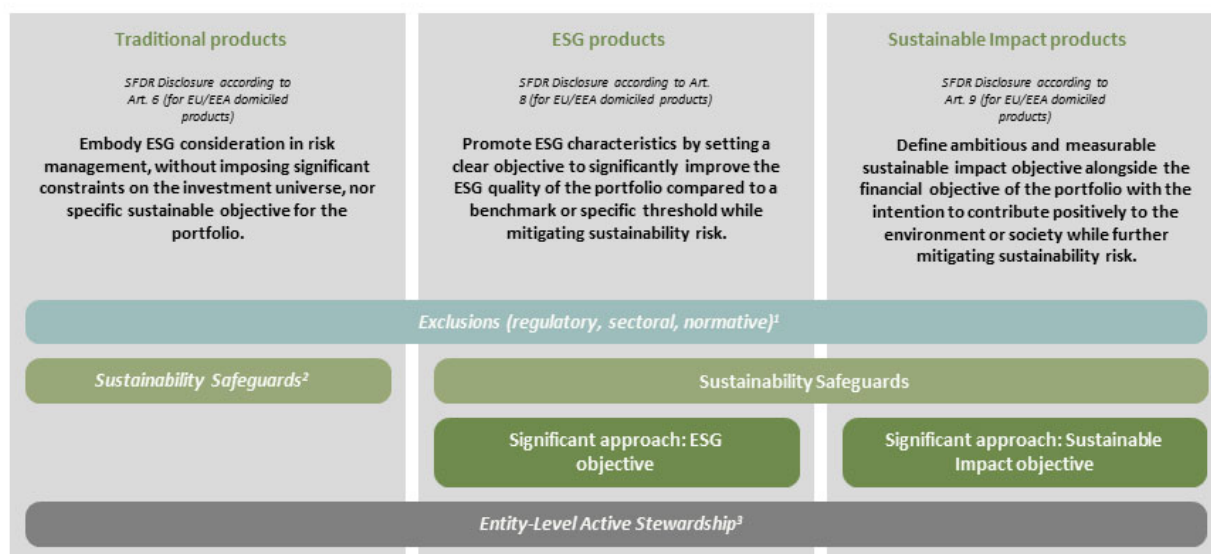
Sustainability Product Categories

The degree of sustainability of a product depends mainly on the way in which the product's investment components are managed. If a product uses several investment components, the share of components related to sustainability determines the sustainability category of this product. Swiss Life Asset Managers subdivides its product shelf into three categories: Traditional, ESG and Sustainable Impact.

The three sustainability categories distinguish the products according to ESG objective and strategy, ESG reporting and how ESG characteristics are addressed. To be able to allocate the products' different characteristics to a category, Swiss Life Asset Managers has established an internal set of rules for each asset class. These rules define the characteristics required for a product to be classified as Traditional, ESG or Sustainable Impact are structured in the following way.

This ESG report reflects this structure accordingly. Please note that all KPIs of chapter I to VII are part of the products' ESG strategy if not mentioned otherwise ("disclosure only"). Please find more details on www.swisslife-am.com/responsible-investment

Swiss Life Asset Managers product categories



¹Certain traditional products may not apply all exclusions.

²Certain traditional products apply sustainability safeguards.

³Applied at the level of Swiss Life Asset Managers and not at the level of the financial product.



I. Executive Summary

	Portfolio	Swiss Life Funds (LUX) Bond ESG Global Sovereigns
	AUM	689,580,000
	Fund Currency	EUR
	Asset Class Classification	Bond
	Label	Label ISR
	Swiss Life AM Classification	ESG
	Universe	Bloomberg Global Aggregate Treasuries ex CNY (EUR hedged)

	SFDR Disclosure	Art. 8
	Considers PAIs	Yes
	Addresses EU Taxonomy	No
	Addresses Sustainable Investments	No

Sustainability Preferences

If Sustainability Preferences are not addressed in this product the below mentioned KPIs are just for disclosing purposes.

Principal Adverse Impacts

	Portfolio
GHG Intensity of investee companies scope 12 value	-
Investee countries subject to social violations value	15.00
Average corruption score value	69.96

Sustainable Investments

	Portfolio (%)
Option Value	-

Significant Approach

Our target: Swiss Life Asset Managers have set a goal for the portfolio's SDG score to exceed the SDG score of the universe by 20%. For products that have an ESG index as the ESG Universe, Swiss Life Asset Managers ensures that the portfolio's SDG score is better than the SDG score of the ESG benchmark.

This specific fund: aims to have a higher SDG score compared to the universe.

	Portfolio
ESG Government SDG Index Score	78.86

Remarks

At Swiss Life Asset Managers, we are committed to providing a comprehensive insight into the sustainability of its ESG and Sustainable impact funds. Our ESG factsheet covers key areas such as exclusions, sustainability safeguards, and dedicated ESG strategies employed in the management of the fund. Additionally, the report includes a carbon overview aligned with the Swiss Climate Scores framework, as well as information on our compliance with the Sustainable Finance Disclosure Regulation (SFDR) and information on how we consider sustainability preferences as per MIFID II. By delivering this transparent and informative ESG reporting, we aim to give a clear understanding of the sustainability characteristics and performance of the portfolios.

II. Exclusions

Our Framework

Embody ESG consideration in risk management: Swiss Life Asset Managers applies a set of exclusion rules for all managed portfolios, where possible. The aim is to avoid sustainability tail risks, without imposing significant constraints on the investment universe, nor specific sustainable objectives for the portfolio. The exclusions are addressing three different areas: regulatory exclusions, normative exclusions and sectorial exclusions. For sovereigns, the focus lies on regulatory exclusions.

Regulatory Exclusions

Sanction Lists: Swiss Life Asset Managers applies the sanctions lists as required by law (i.e. EU, UN, SECO sanctions).

Money Laundering: Issuers that are classified as “High-Risk Jurisdictions subject to a Call for Action” in the Financial Action Task Force (FATF) of high-risk countries are excluded. The exclusion applies to sovereign issuers and any corporate issuer with corresponding “risk country”.

Internal Compliance Exclusion List: Swiss Life Asset Managers does no new investments in critical governments and issuers, monitored by Risk department.

III. Sustainability Safeguards

Our Framework

Rationale: For its ESG and Sustainable Impact products, Swiss Life Asset Managers applies specific rules to ensure a distinct ESG quality of all products, regardless of their promoted E/S characteristics or sustainable investment objective. These sustainability safeguards criteria are key to mitigate both sustainable and financial downside risk of the portfolio and are outlined on Eligibility/Coverage, SDG Index and the three pillars (environmental, social and governance). Exclusions are only applied to the eligible universe.

Our target: Sovereign issuers that match one of the limits below are not investable:

-SDG Index Score below 50

-3 negative signals on governance aspects (governance pillar)

-1 negative signal on environmental aspects (environmental pillar) and 3 negative signals on social aspects (social pillar).

Eligible universe vs. covered universe

Eligible universe: The eligible universe contains all the instruments eligible* to receive an ESG analysis. Portfolios of ESG products are invested in eligible instruments by at least 50%; Portfolios of Sustainable Impact products by at least 75%.

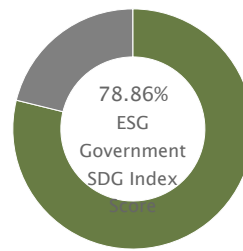
Covered universe: The assets in the eligible universe which are covered by the appropriate ESG data is called covered universe. For the ESG products there must be at least 90% of the eligible instruments covered and 100% within the Sustainable Impact products.

	Portfolio (%)
Eligibility	24.85
Coverage	12.74

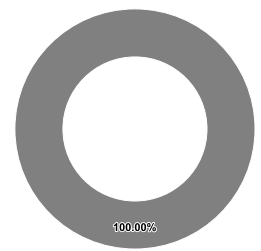
SDG Index:

This indicator ranks countries by their overall score. The overall score measures the total progress towards achieving all 17 SDGs and can be interpreted as a percentage of SDG achievement. A score of 100 indicates all SDGs have been achieved. The value in the center of the chart indicates the Portfolio weighted average SDG Index score. (Source: Sustainable Development Report)

Sovereign issuers that have an SDG Index Score below 50 are not investable.



Portfolio



Universe

*For sovereign ESG KPIs: sovereign bonds and SSA and government related bonds considered as sovereigns.
Not considered as eligible in general for quantitative ESG KPIs are derivatives and cash/cash equivalents.

Governance Pillar

Swiss Life Asset Managers uses a set of 3 indicators to assess the good governance aspects of a sovereign issuer:

- Global Peace Index
- Corruption Perception Index
- Global Freedom Status

Global Peace Index

This indicator identifies whether a country demonstrates low levels of peacefulness as assessed in the annual Global Peace Index report as a binary indicator. (Source: Vision for Humanity, Institute for Economics and Peace).

Our target: A negative signal occurs, if the country belongs to the worst 20 of the universe. The figure on the right illustrates the exposure to companies that obtain a negative signal.

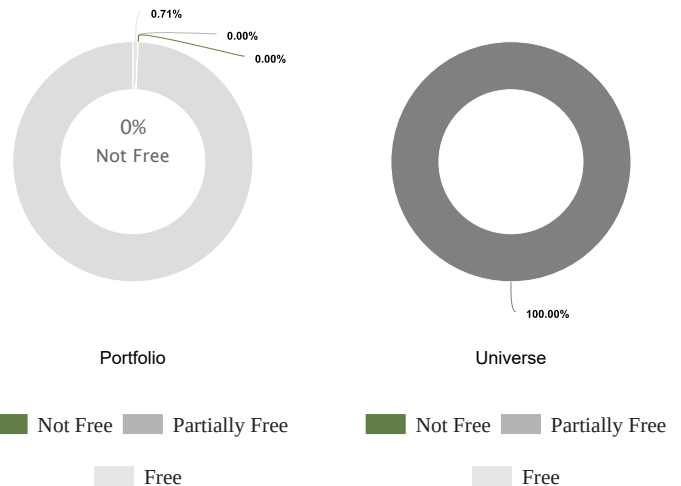


Global Freedom Index

Freedom House rates people's access to political rights and civil liberties.

This indicator identifies whether a country is Free, Not Free or Partially Free in its Global Freedom Index. (Source: Freedom House)

Our target: A negative signal occurs if the country is classified as “Not Free”. The figure on the right illustrates the exposure to companies that obtain a negative signal.



Corruption Perception Index

The Corruption Perception Index measures the degree to which public sector corruption is perceived to exist in different countries around the world with a score between 0 and 100. Countries with lower score are perceived to be more corrupt. (Source: Transparency International)

Our target: A negative signal occurs, if the country belongs to the worst 20 of the universe.

Governance indicators on biggest 10 holding

Name	Portfolio	Universe	Global Peace Index	Global Freedom Status	SDG Score
Japan	20.79	-	No	Free	79.410000
United States of America	18.33	-	No	Free	74.550000
Repubblica Italiana	7.44	-	No	Free	78.790000
United Kingdom of Great Britain and Northern Ireland	6.92	-	No	Free	80.550000
-	4.04	-	-	-	-
Bundesrepublik Deutschland	3.68	-	No	Free	83.360000
Reino de Espana	3.54	-	No	Free	79.900000
Republique Francaise	3.05	-	No	Free	82.050000
Basler Kantonalbank	2.61	-	-	-	80.540000
European Investment Bank	2.33	-	-	-	77.650000

Environmental Pillar

Swiss Life Asset Managers uses a set of three indicators to assess the environmental aspects of a sovereign issuer:

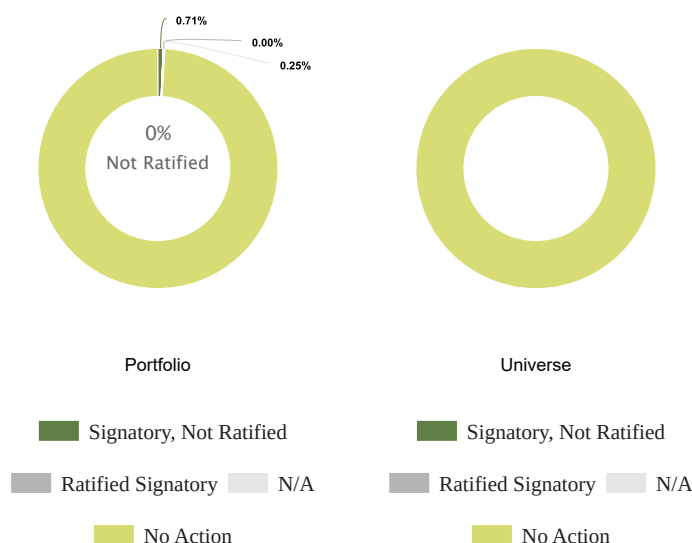
- Paris Agreement Ratification Status
- Party to Convention on Biological Diversity (CBD)
- Country GHG Intensity

Paris Agreement Ratification Status

The Paris Agreement's objective is to hold “the increase in the global average temperature to well below 2°C above pre-industrial levels” and pursue efforts “to limit the temperature increase to 1.5°C above pre-industrial levels”.

This screen measures the status of a country’s ratification of the UNFCCC Paris Agreement. (Source: United Nations Framework Convention on Climate Change)

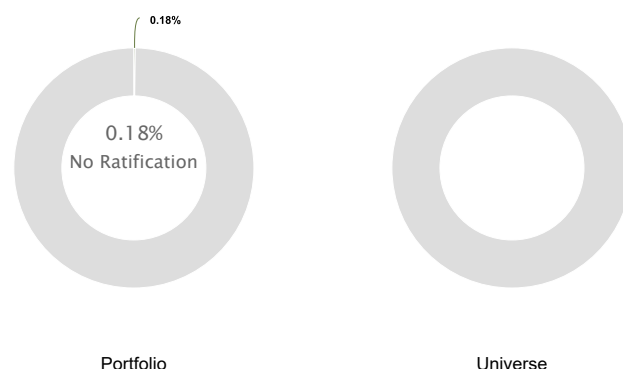
Our target: A negative signal occurs, if the country is classified as "not ratified".



Parties to the Convention on Biological Diversity

Ratification status of the Convention on Biological Diversity (CBD) by different countries. Countries which have deposited any of the ratification instruments such as Ratification, Succession, Accession, Approval, Acceptance etc are considered as party to this protocol. Countries which have not used any ratification tool (even if they have signed to it) are not considered party to the protocol. (Source: Convention on Biological Diversity)

Our target: A negative signal occurs, if the country is classified as “Not part of the protocol”.



Country GHG Intensity

Tons of CO2e emissions per EUR million GDP of the country. National territorial emissions are sourced from EDGAR. Nominal GDP level is sourced from WDI. Currency conversion of Nominal GDP to euros uses the average annual nominal exchange rate level. (Source: Electronic Data Gathering, Analysis, and Retrieval and The World Bank)

Our target: A negative signal occurs, if the country belongs to the Top 20 GHG intensity countries.

Social Pillar

Swiss Life Asset Managers uses a set of three indicators to assess the environmental aspects of a sovereign issuer:

- ITUC Global Rights Index
- Use of Child Labor
- Use of Forced/ Bonded Labor

Global Rights Index

The Global Rights Index is a world-wide assessment of trade union and human rights by country such as freedom from violent conditions and the right to strike and unionize.

This indicator identifies weather a country has been assessed as having no guarantee of minimum worker rights. (Source: International Trade Union Confederation)

Our target: A negative signal occurs, if the country is classified as “no guarantee of minimum worker rights”.



Portfolio

Universe

Use of Child Labor

This indicator screens the countries, which have reported incidences of arduous and hazardous child labor and displays weak enforcement of relevant laws. (Source: MSCI Research)

Our target: A negative signal occurs, if the country is classified as “Yes”.



Portfolio

Universe

Use of Forced/ Bonded Labor

This indicator screens the countries, which have reported incidences of forced/bonded labor including forced child labor, domestic work and prostitution, and displays weak enforcement of relevant laws. (Source: MSCI Research)

Our target: A negative signal occurs, if the country is classified as "Yes".



Portfolio

Universe

Social indicators for 10 biggest holdings

Name	Portfolio	Universe	No guarantee of worker rights (ITUC)	Reported incidences of child labor	Reported incidences of forced/ bonded labor
Japan	20.79	-	No	No	No
United States of America	18.33	-	No	No	No
Repubblica Italiana	7.44	-	No	Yes	No
United Kingdom of Great Britain and Northern Ireland	6.92	-	No	No	No
-	4.04	-	-	-	-
Bundesrepublik Deutschland	3.68	-	No	No	No
Reino de Espana	3.54	-	No	No	No
Republique Francaise	3.05	-	No	No	No

Name	Portfolio	Universe	No guarantee of worker rights (ITUC)	Reported incidences of child labor	Reported incidences of forced/ bonded labor
Basler Kantonalbank	2.61	-	-	-	-
European Investment Bank	2.33	-	-	-	-

IV. Significant Approach

SDG Approach

About the SDGs

The Sustainable Development Goals (SDGs) were adopted by the United Nations in 2015 as a universal call to action to end poverty, protect the planet, and ensure that by 2030 all people enjoy peace and prosperity. Swiss Life Asset Manager’s SDG approach aims to reward countries which are making progress towards the different goals and underweights countries that do not demonstrate an effort to fulfil those goals. As a data source, Swiss Life Asset Managers uses the SDG Index Score, which is a public source. Please see [here](#) for further information.

Our Approach

Our target:Swiss Life Asset Managers have set a goal for the portfolio’s SDG score to exceed the SDG score of the universe by 20%. For products with an ESG index as the ESG Universe, Swiss Life Asset Managers ensures that the portfolio’s SDG score is better than the SDG score of the ESG benchmark. The value disclosed below indicates the portfolio weighted average SDG Index score.

This specific fund: aims to have a 20% higher SDG score compared to the benchmark ...aims to have a higher SDG score compared to the benchmark ...aims to have a higher SDG score compared to the ESG-benchmark



	Portfolio
ESG Government SDG Index Score	78.86
Coverage (AuM)	0.56
Coverage (% Pos)	2.17

IV. Significant Approach

NDC Approach

About the NDCs

The Nationally Determined Contribution (NDC) reflects a country's ambition to comply with the objective of the Paris Agreement to limit global warming to well below +2°C, aiming to +1.5°C in 2100 compared to pre-industrial era. Swiss Life Asset Managers has therefore classified the countries in each of the following warming potential categories (as calculated by MSCI) based on their latest NDCs: <3°C and >=3°C.

Our Approach

Our target: The portfolio should have at least 20% overall overweight compared to the benchmark on the category "Warming potential below 3°C".



	Portfolio
2023	3.67
Coverage (AuM)	71.11
Coverage (% Pos)	33.33

V. Sustainability Preferences

Our Framework

Three Sustainability Preferences: In the Commission Delegated Regulation 2021/1253*, Sustainability Preferences are defined as clients' preferences for a minimum proportion of EU Taxonomy-aligned investments, a minimum proportion of sustainable investments (as defined under SFDR) or the consideration of principal adverse impact on sustainability factors. Moreover, some of these metrics align with the ESG reporting standard for pension funds of the Swiss Pension Fund Association (ASIP).

Currently, sovereign portfolio are only able to address Principal Adverse Impacts, since the definition of sustainable investments and EU Taxonomy-aligned investments is not yet finally developed.

Sovereign PAIs

Swiss Life Asset Managers assesses the Principal Adverse Impacts of the sovereign issuers on the environmental and social dimensions. On one hand, both dimensions are addressed through the environmental and social sustainability safeguards (see above). On the other hand, the PAIs as outlined by the regulation are monitored beneath.

	Portfolio
15. GHG intensity of investee countries	-
16. Investee countries subject to social violations	15.00
21. Average corruption score	69.96

*This delegated act extends the existing MiFID II suitability assessments to include clients' sustainability preferences.

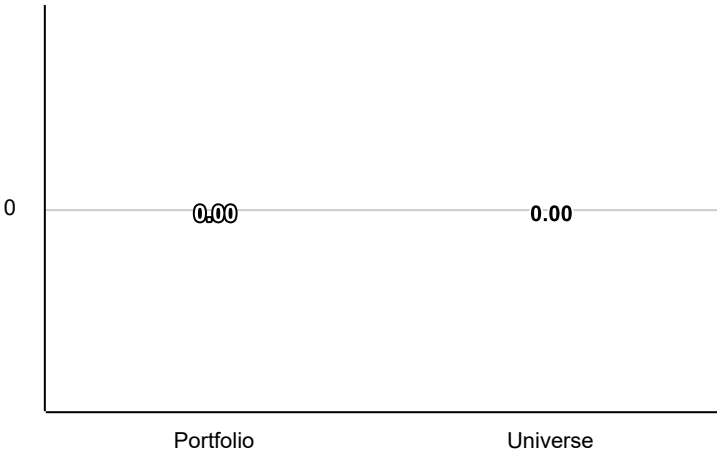
VI. Climate Overview

Current State

Country GHG Emissions

Encompasses all sources of greenhouse gas emissions from invested countries (scope 1-3), including emissions associated to their imports.

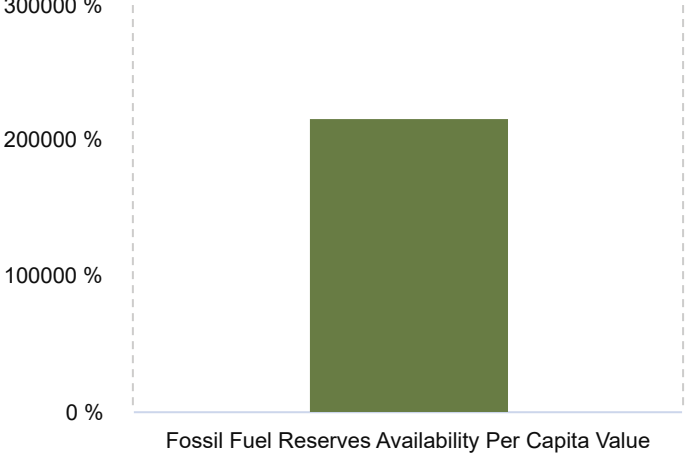
GHG intensity of investee countries (tCO2e / Mio EUR GDP)



Fossil Fuel Reserves ("disclosure only")

Per capita availability of fossil fuel reserves (in kg of oil equivalent per person), such as coal, oil, and gas.

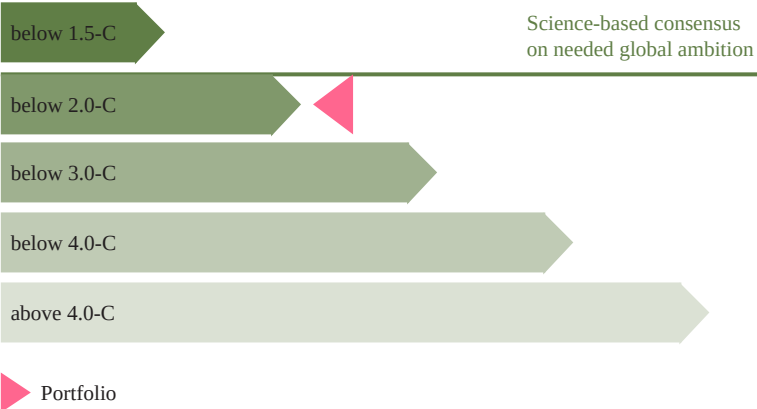
Weighted Average Per Capita Availability of **Fossil Fuel Reserves**



Transition to Net Zero

Warming Potential based on NDC ("disclosure only")

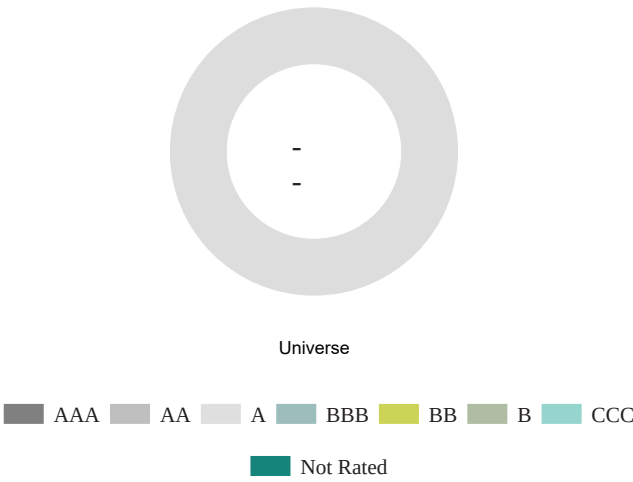
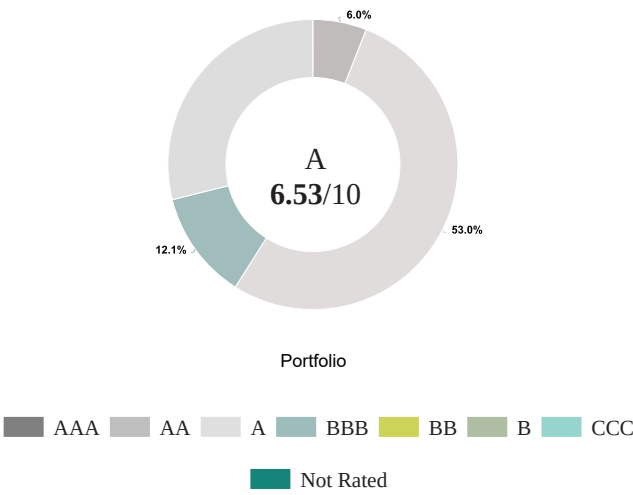
This is the level of global warming that would occur if the global economy acted with the same ambition as the countries in the portfolio. Some portfolios with climate objectives may intentionally include investments in countries that are not yet on track to 1.5°C, but seek to contribute actively to climate goals by improving the alignment of investee countries to bring a larger share of the economy into alignment over time.



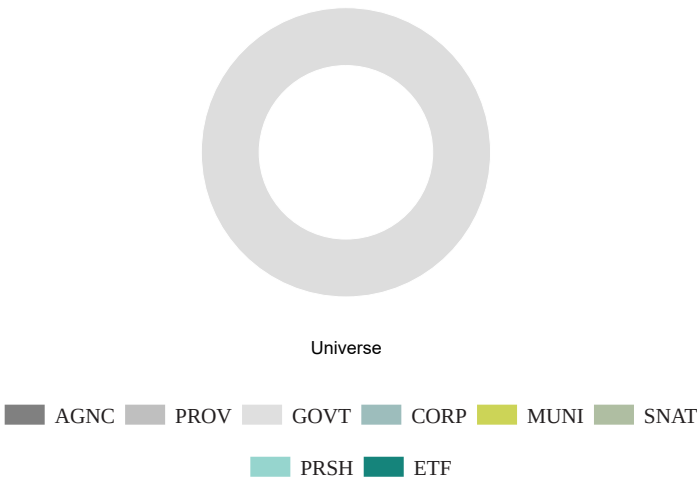
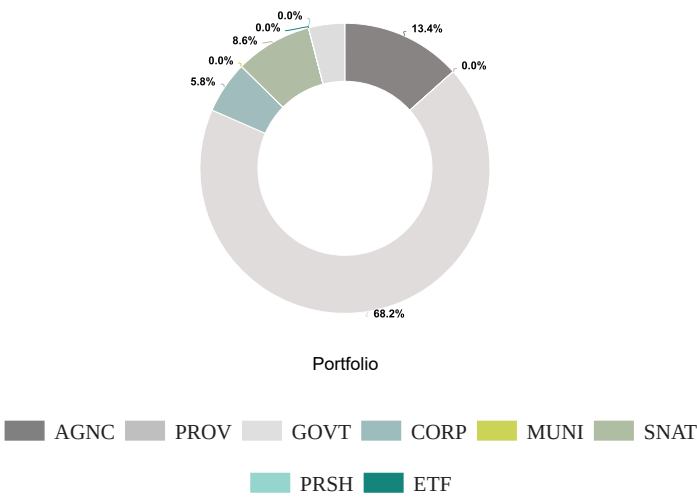
Portfolio assets covered by assessment:
Climate scenarios used: **Scenario BAU / NDC**

VII. Additional ESG Information

ESG Rating Distribution ("disclosure only")



Sector Distribution



VIII. Appendix

Fund Breakdown

Portfolio	Weight	Rating	Score	Sustainability Label
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Portfolio Data Coverage

ESG Indicators	ESG Rating	1.00%
	Carbon Footprint	3.17%
Sustainability Safeguards	Use of Forced / Bonded Labor	99.13%
	SDG Score	79.43%
Sustainability Preferences	PAIs	79.43%

Universe Data Coverage

ESG Indicators	ESG Rating	-
	Carbon Footprint	-
Sustainability Safeguards	Use of Forced / Bonded Labor	99.13%
	SDG Score	-
Sustainability Preferences	PAIs	-

Portfolio Metadata

\$	Fund Currency	EUR
🏠	Portfolio Value	689,580,000
🏢	Dataprovider	MSCI ESG Research LLC, Bloomberg

Explanatory Notes

The total reported value of the portfolio as well as other metrics can vary between this document and other portfolio documents provided by Swiss Life Asset Managers due to different ESG-related metrics. Many terms and metrics are described in more detail in the “Glossary” part of this document. Further information about the portfolios can be found at <https://invest.swisslife-am.com/>.

Glossary

Parameter	Description
MSCI ESG Rating / Score	The portfolio level MSCI ESG score is designed to help clients understand the resilience of a product to long term ESG risks and opportunities. The portfolio level MSCI ESG score aggregates the industry-adjusted or government-adjusted ESG scores of the underlying holdings to provide clients with an indication of the overall product-level ESG Rating. The score is provided on a 0-10 score, with 0 and 10 being the respective lowest and highest possible fund scores. Translated into an ESG Rating, the portfolio can be classified between CCC and AAA.
E,S,G	"Environmental" a portfolio's Environmental Score measures holdings' management of and exposure to key environmental risks and opportunities. "Social" a portfolio's Social Score measures holdings' management of and exposure to key social risks and opportunities. "Governance" a portfolio's Governance Score measures holdings' management of and exposure to key governance risks and opportunities.
Tail risk	High risk involving unpredictable events.
Investment universe	The investment universe, or market portfolio, includes all investable assets.
Unconventional Gas & Oil	Unconventional oil and gas is defined as oil and gas extraction activities deviation from conventional methods. It includes revenues from oil sands, oil shale (kerogen-rich deposits), shale gas, shale oil, coal seam gas, and coal bed methane. It excludes all types of conventional oil and gas production including Arctic onshore/offshore, deepwater, shallow water and other onshore/offshore.
Controversial weapons	Controversial weapons include particularly biological weapons, nuclear weapons, chemical weapons, land mines and cluster munitions.
UNGC / UNGC Principles	The UN Global Compact is the world's largest corporate sustainability initiative with 13000 corporate participants and other stakeholders over 170 countries with two objectives: "Mainstream the ten principles in business activities around the world" and "Catalyse actions in support of broader UN goals", such as the Millennium Development Goals (MDGs) and Sustainable Development Goals (SDGs).
UNGC Compliance Overview	Shows the UNGC check statistics and key figures of the portfolio. Investments are classified and categorized as passed, watchlist or failed holdings and holdings which are not covered by this analysis. Investments are based on their market value in the portfolio.
Greenwashing	Greenwashing refers to the practice of gaining an unfair competitive advantage by marketing a financial product as environmentally friendly, when in fact basic environmental standards have not been met.
Sustainability Safeguards	The purpose of the sustainability safeguards is to set a standard for minimum sustainability requirements to be fulfilled by securities investment portfolios with a dedicated ESG or Sustainable Impact strategy managed by Swiss Life Asset Managers
Eligible universe	The eligible universe contains all the instruments who are eligible to receive an ESG score. For example for corporate ESG KPIs, corporate bonds, listed equities, SSA and government related bonds considered as corporates.
Covered universe	The assets in the eligible universe that are covered by the appropriate ESG data are called covered universe.
SFDR	The Sustainable Finance Disclosure Regulation (EU) 2019/2088 of 27 November 2019 on sustainability related disclosures in the financial services sector is a European regulation introduced to improve transparency in the market for sustainable investment products, to prevent greenwashing and to increase transparency around sustainability claims made by financial market participants.
MiFID II Sustainability Preferences	A new requirement, for EU-domiciled products, which came into effect in August 2022, means that FMPs must now ask their clients about their sustainability preferences as part of the existing MiFID II suitability assessment. The three preferences are outlined as i) Considering the principal adverse impacts (PAI) on sustainability factors, ii) sustainable investment objective or iii) environmental sustainable investment objective (EU Taxonomy-aligned)
PAI	Principal Adverse Impacts on sustainability factors are the negative externalities caused by a company either through its economic activity or its products and services (throughout their life cycle), onto the planet and people.

Carbon Footprint Scope 1,2	Scope 1 emissions are direct greenhouse (GHG) emissions that occur from sources that are controlled or owned by an organization (e.g., emissions associated with fuel combustion in boilers, furnaces, vehicles). Scope 2 emissions are indirect GHG emissions associated with the purchase of electricity, steam, heat, or cooling. Although scope 2 emissions physically occur at the facility where they are generated, they are accounted for in an organization's GHG inventory because they are a result of the organization's energy use.
Carbon Footprint Scope 3	Scope 3 emissions are the result of activities from assets not owned or controlled by the reporting organization, but that the organization indirectly impacts in its value chain.
Transition to net zero	Net zero emission means that all man-made greenhouse gas emissions must be removed from the atmosphere through reduction measures, thus reducing the Earth's net climate balance, after removal via natural and artificial sink, to zero. Transition to net zero means the efforts of companies and sovereigns to become net zero in that sense.
Paris-alignment	Companies or sovereigns which are aligned with their operations and activities with the long-term mitigation goal of limiting global warming to well below 2°C and pursuing 1.5°C as defined in Agreement from the COP 15 in Paris in 2015.
Controversies	Controversies assess the impact of company operations and/or products and services that allegedly violate national or international laws, regulations, and/or commonly accepted global norms. The assessment is done based on severities: very severe, severe controversies, moderate controversies, minor controversies, no controversies.
Sustainable Investment	An investment that has the intention to generate a positive and measurable, environmental or social impact through the financing of specific economic activities, while ensuring that the financed companies follow good governance practices.
ESG Benchmark Coverage	The figures provided are understood as percentage of the market value of the benchmark's constituents, which could be rated with MSCI ESG data.
ESG Portfolio Coverage	The figures provided are understood as percentage of the market value of a portfolio's holdings, which could be rated with MSCI ESG data.
Label ISR	The Label ISR is a tool for choosing sustainable and responsible investments. Created and supported by the French Finance Ministry, the label goal is to increase the visibility of ISR products among investors in France and Europe. The ISR investment aims at reconciling economic performance, social and environmental impact by financing companies contributing to a sustainable development in all business sectors. The Label ISR, issued at the end of a strict process of labelling led by independent bodies, constitutes a unique mark for the investors wishing to participate in a more sustainable economy. To obtain The Label ISR, the fund must meet a set of criteria broken down into six topics defined by order: • the general (financial and ESG) objectives of the fund. This entails verifying that these objectives are clearly defined and described to investors and taken into account when formulating the fund's investment policy • the ESG criteria analysis and rating methodology used by the companies in which the fund invests • the inclusion of ESG criteria during the portfolio's development and existence • the ESG engagement policy with the companies in which the fund invests (voting and dialogue) • fund management transparency • measurement of the positive impacts of ESG management on the development of a sustainable economy.
Traditional products	Traditional products from Swiss Life Asset Managers embody ESG consideration in risk management, without imposing significant constraints on the investment universe, nor specific sustainable objective for the portfolio.
ESG products	ESG products from Swiss Life Asset Managers promote ESG characteristics by setting a clear objective to significantly improve the ESG quality of the portfolio compare to a benchmark while mitigating sustainability risk.
Sustainable Impact products	Sustainable Impact products from Swiss Life Asset Managers define ambitious and measurable sustainable investment objective alongside the financial objective of the portfolio with the intention to contribute positively to the environment or society while further mitigating sustainability risk.
EU Taxonomy	The EU Taxonomy Regulation (EU) 2020/852 of 18 June 2020 on the establishment of a framework to facilitate sustainable investment is a cornerstone of the EU's sustainable finance framework and an important market transparency tool that helps direct investments to the economic activities most needed for the transition, in line with the European Green Deal objectives. The EU Taxonomy framework defines how business activities need to be conducted to contribute significantly to one of the six environmental objective: (1) climate change mitigation, (2) climate change adaptation, (3) sustainable use and protection of water and marine resources, (4) transition to a circular economy, (5) pollution prevention and control, and (6) protection and restoration of biodiversity and ecosystems. The business activities need to respect further the DNSH and minimum social safeguards criteria to be accounted as EU Taxonomy-aligned.
Do No Significant Harm (DNSH)	'do no significant harm' means not supporting or carrying out economic activities that do significant harm to any environmental or social objective, where relevant, within the meaning of Article 17 of Regulation (EU) 2020/852 and Article 2(17) of SFDR
SVVK-ASIR exclusion list	"Recommendations for exclusion" in the form of a list from the Swiss Association for Responsible Investment (SVVK-ASIR). This association provides screening and engagement services for its members so that they can take responsibility towards the environment, society and the economy holistically in their investment decisions.

Thermal coal	Coal burned, primarily in boilers, to generate steam for the production of electricity or for process heating purposes, or used as a direct source of process heat. Thermal coal, also known as steam coal, refers to all coal not classified as coking (or metallurgical) coal.
RTS	The Joint Committee Regulatory Technical Standards (RTS) on ESG disclosures have been developed by the three European Supervisory Authorities (EBA, EIOPA and ESMA) under the EU Regulation on sustainability-related disclosures in the financial services sector Regulation (SFDR), which aims to strengthen protection for end-investors and improve the disclosures that they receive from a broad range of financial market participants and financial advisers, as well as regarding financial products.
Double materiality concept	The concept of ‘double-materiality’ was first formally proposed by the European Commission (European Commission, 2019) in Guidelines on Non-financial Reporting: Supplement on Reporting Climate-related Information published in June 2019. It encourages a company to judge materiality from two perspectives (European Commission, 2019, p.6): 1) “the extent necessary for an understanding of the company’s development, performance and position” and “in the broad sense of affecting the value of the company”; 2) environmental and social impact of the company’s activities on a broad range of stakeholders.
SDG	The Sustainable Development Goals (SDGs), also known as the Global Goals, were adopted by the United Nations in 2015 as a universal call to action to end poverty, protect the planet, and ensure that by 2030 all people enjoy peace and prosperity. The 17 SDGs are integrated—they recognize that action in one area will affect outcomes in others, and that development must balance social, economic and environmental sustainability.
OECD Guidelines for Multinational Enterprises	The OECD Guidelines for Multinational Enterprises (OECD Guidelines) are recommendations from governments to multinational enterprises on responsible business conduct. The OECD Guidelines set standards for responsible business conduct across a range of issues such as human rights, labour rights, and the environment.
Evolving climate-related metrics	We have developed methodologies that we use to show metrics such as carbon intensity and footprint or management to net zero, at portfolio level. These methodologies underly the metrics that are disclosed in this report. Standard-setting organizations and regulators continue to provide new or revised guidance and standards, as well as new or enhanced regulatory requirements for climate disclosures. Our disclosed metrics are based upon data available to us, including estimates and approximations where actual or specific data is not available. We intend to update our methodologies, metrics and disclosures to comply with new guidance and regulatory requirements as they become applicable to Swiss Life Asset Managers. Such updates may be substantial.
Global warming alignment (°C)	This metric reports the Implied Temperature Rise (ITR) and provides an indication of how companies and investment portfolios align to global climate targets. For further information on ITR, refer to the MSCI methodology document. Data provider: MSCI ESG Research. ITR is reported, when applicable (data coverage >40%), for transparency purposes and may not be used to manage a product. Swiss Life Asset Managers may use alternative methodologies and metrics to construct or measure portfolio performance across specific strategies, and these may not be directly comparable to ITR. For more details on how the product is managed, please refer to the product documentation.
Exposure to Fossil Fuel Activities	The exposure to fossil fuels activities refers to the degree to which an investment is involved in activities related to fossil fuels. The scope of activities includes the whole value chain where data is available. The 5% threshold is required by the Swiss Climate Scores (SCS) template for disclosure purposes and may not reflect how the product is managed. For thresholds as to how the product is managed, please refer to the product documentation.
ASIP Reporting	Our ESG Factsheet is designed to align as closely as possible with the recommendation for the ESG reporting standard for pension funds of the Swiss Pension Fund Association (ASIP) and is continually striving to enhance this alignment. The key metrics are available for review in the following chapters: II. Exclusions, III. Sustainability Safeguards, V. Sustainability Preferences and VI. Climate Overview.

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